NISM SERIES XIX-B · SEPTEMBER 2026 WORKBOOK · STUDY NOTES

AIF Category III Distributors

Hedge funds, Indian style: learn the 2× leverage leash, the 10% concentration cap and the fee maths before you sell a single unit.

A Category III AIF is India's legal home for hedge-fund style money: a private pool where rich investors and institutions hand money to a manager who can go long, go short, use futures and options and borrow (up to 2 times NAV). It is like a high-performance race car: it can go much faster than a family sedan (a mutual fund), but only licensed drivers with deep pockets should get in. The distributor is the showroom salesperson who must check the buyer can handle it and explain every risk and fee before the keys change hands. NISM-Series-XIX-B tests that you understand the car, the rulebook (SEBI AIF Regulations, 2012), the fee meter and the tax bill well enough to sell it honestly.

📋 Exam pattern

100	120 min	60%	10% of the marks assigned to the question
Total marks	Duration	Pass mark	Negative marking

80 MCQs + 5 case-based questions (4 questions each) = 100 questions · Passing score is 60 out of 100. Test-centre workstations have Microsoft Excel or LibreOffice for numericals, so practise CAGR, IRR, Sharpe and fee computations on a spreadsheet. The workbook (September 2026 version) applies to exams on or after November 28, 2026.

👥 Who needs it

- Persons working as distributors or placement agents of Category III AIFs (the workbook describes XIX-B as a voluntary examination focused on Category III AIFs)
- Wealth managers, private bankers and relationship managers who pitch hedge-fund style AIFs to HNIs, family offices and institutions
- Sales and investor-relations staff at Category III AIF managers and distribution firms
- Anyone who wants a structured, regulator-grade understanding of Indian hedge-fund products

🧭 Exam strategy

- Time budget: about 70 seconds per question. Do the 80 MCQs in roughly 70 minutes and keep 40 minutes for the 5 cases (20 questions) and review.
- Negative marking is only 10%, so an educated guess after eliminating even one option is worth taking; do not leave many blanks.
- Chapters 5 and 6 together are 30% of marks; Chapters 3, 4 and 8 add another 36%. Master these five first.
- For case-based questions, read the questions first, then the case, and note every number (corpus, NAV, hurdle, rates) before calculating.
- Keep the Excel/LibreOffice workstation open for CAGR (=(end/start)^(1/n)-1), IRR (=XIRR) and fee arithmetic instead of mental maths.
- In 'NOT / EXCEPT' questions, mark each option true or false before choosing; these are frequent in Chapters 5, 9 and 10.
- Watch for 'lower of' vs 'higher of' (sponsor commitment is lower of 5% or Rs 10 crore; incentive base is higher of hurdle or HWM).
- Distinguish approval thresholds instantly: two-thirds for strategy change and extension, 75% for associates, winding-up and in-specie.
- Remember that the workbook is the source of truth: use 2026 rules such as 10 working days for PPM filing and 12.5%/20% capital gains rates.



Chapter 1 · Weight: 4%

Overview of Alternative Investments

Introduces alternative investments as everything outside traditional stocks, bonds, cash, mutual funds and ETFs. Their defining trait is illiquidity, and they exist to improve risk-adjusted returns for sophisticated investors through diversification.

> **MAKE IT STICK**
> Think of a traditional portfolio as a supermarket trolley: everything has a barcode and can be returned at the counter (liquid). Alternatives are like buying a custom-built boat: potentially more fun and value, but you cannot return it tomorrow.

1. Alternative investment = financial asset outside conventional categories (stocks, bonds, cash); essential characteristic is illiquidity
2. Traditional investments are on-market and liquid: listed shares and bonds, open-ended MFs, ETFs, simple exchange-traded derivatives
3. Dual category: illiquid underlying assets but liquid instruments, such as REITs, InvITs, security receipts, close-ended debt funds
4. SEBI (AIF) Regulations, 2012 define an AIF as a privately pooled investment vehicle, funds pooled from India or abroad for a defined investment policy

5 Excluded from AIF definition: mutual funds, collective investment schemes, family trusts, ESOP/employee benefit trusts, holding companies, securitisation SPVs, funds under RBI or other regulators

6 Hedge funds invest across asset classes, use complex strategies, go long and short and use significant leverage at fund level

7 SEBI definition of hedge fund: AIF that employs diverse or complex trading strategies and invests in securities with diverse risks or complex products including listed and unlisted derivatives

8 DPIIT start-up: not more than 10 years old and turnover not above Rs 100 crore in any financial year

9 PE buyouts typically target 51% or more of share capital or voting rights; LBOs use significant leverage

10 Benefits of alternatives: diversification, alpha from off-market strategies, growth capital; limitations: complexity, low transparency, illiquidity, no regular income

11 AIFs must give Persons with Disabilities full cooperation, accessibility and equal opportunity

Core trait of alternatives
Illiquidity

AIF definition
Privately pooled investment vehicle

DPIIT start-up
Up to 10 years old, turnover not above Rs 100 crore

Buyout control stake
51% or more

🎯 EXAM TIP
Expect 'which is NOT an AIF' (mutual fund, family trust, securitisation company) and 'which is an alternative investment' (commercial real estate, hedge fund, unlisted debt) questions.

⚠️ TRAP
Exchange-traded futures used to hedge equities are traditional, not alternative; OTC derivatives and complex structured products are alternative.



Chapter 2 · Weight: 4%

Growth of Alternative Investment Funds in India and Suitability of Category III AIFs

Traces hedge funds from A.W. Jones (1949) to the SEBI AIF Regulations of May 21, 2012, describes all AIF types and the three categories, and explains why Category III is the riskiest and suits only institutions and ultra-HNIs.

MAKE IT STICK
Before 2012 Indian rich investors had to send money abroad under LRS to touch a hedge fund. The 2012 regulations built a domestic 'Category III' garage, and GIFT City later added a tax-neutral offshore wing inside India.

1. First hedge fund: Alfred Winslow Jones, A.W. Jones & Co., 1949 (incentive fees, short selling, leverage)
2. SEBI (AIF) Regulations notified May 21, 2012; Category III is the home of hedge funds
3. LRS started Feb 4, 2004 at USD 25,000; now USD 2,50,000 per person per financial year
4. FEMA Notification 355/2015 (Nov 16, 2015): AIF investment is foreign investment only if sponsor or manager is not Indian owned and controlled
5. Category I: start-ups, early-stage, social ventures, SMEs, infrastructure (VCF, angel, SME, social impact, infra, special situations, CDMDF)
6. Category II: residual category; no leverage except day-to-day operational needs (PE funds, debt funds)
7. Category III: diverse or complex trading strategies, may use leverage including listed or unlisted derivatives (hedge funds, short-term trading funds)
8. Angel fund: at least 5 accredited investors before first close; investment per investee Rs 10 lakh to Rs 25 crore
9. CDMDF: close-ended, trust, 15–year tenure from first close; buys investment-grade listed bonds with residual maturity up to 5 years from debt MFs during dislocation
10. Special situation assets include stressed loans, ARC security receipts and securities of companies rated 'D' with defaults continuing 90 days
11. Category III is the riskiest category; suited only to institutional investors and ultra-HNIs
12. Key PPM sections for suitability: Investment Objective and Strategy, Term of Fund, Manager (prior experience), Redemption (lock-in, exit load)
13. Market status: 2014 AIFs registered as of Aug 16, 2026 (21 in 2012); commitments above Rs 16.94 lakh crore as of Mar 31, 2026

AIF Regulations notified **May 21, 2012**	First hedge fund **1949, A.W. Jones**	LRS limit **USD 2,50,000 per person per FY**
Angel fund investment per company **Rs 10 lakh to Rs 25 crore**	CDMDF tenure **15 years from first close**	Cat III equity strategies share (2018–24) **About 69% of market**

🎯 **EXAM TIP**
Match fund types to categories (PE and debt funds are Category II; special situation funds and CDMDF are Category I) and know which PPM section answers which investor question.

⚠️ **TRAP**
Pre-IPO and private equity funds are Category II, not Category III; 'can take leverage via F&O' points to Category III.

Chapter 3 · Weight: 12%

Introduction to Category III AIF Ecosystem

The players (investors, sponsors, trustees, managers), the money flow (commitment, drawdown, dry powder), the fee vocabulary (hurdle, high-water mark, catch-up, waterfall) and how Cat III compares with PMS, mutual funds and SIFs.

MAKE IT STICK

Picture a cricket franchise: investors are the owners who commit money, the sponsor founds the club and must put its own money on the line (skin in the game), the manager is the captain picking the playing XI, and the trustee is the match referee keeping everyone honest.

1. Minimum investment Rs 1 crore per investor; Rs 25 lakh for employees or directors of the AIF or its manager (not applicable to accredited investors)
2. Minimum corpus Rs 20 crore per scheme; maximum 1,000 investors per scheme
3. Sponsor or manager continuing interest: lower of 5% of corpus or Rs 10 crore, in cash, not via fee waiver, locked in till full distribution
4. Concentration: up to 10% of investable funds in one investee company (20% for Large Value Funds); listed equity limit may be computed on investable funds or NAV
5. Large Value Fund for Accredited Investors: each investor (other than manager, sponsor, employees, directors) is an accredited investor investing at least Rs 25 crore
6. Committed capital minus drawn-down (invested) capital = dry powder
7. First close within 12 months of SEBI communication or eligibility to launch the scheme
8. Management fee typically 1–2% (Chapter 6 says up to 2.5%); performance fee typically up to 20% of additional return; range 0–30%
9. Exit load after lock-in typically 0–5% of NAV; 2-year lock-in common but not mandated by SEBI
10. High-water mark: higher of subscription price or highest net NAV at end of any previous financial year
11. Distribution waterfall: return of capital, then hurdle (preferred) return, then catch-up to manager, then split of excess
12. Cat III gets no tax pass-through; fund pays tax on its income
13. Stewardship Code for AIFs (listed equity) has principles on policy, conflicts, monitoring, intervention, voting and periodic reporting
14. Comparisons: PMS minimum Rs 50 lakh, net worth Rs 5 crore, no pooling; MF minimum Rs 500, daily NAV, public issue; SIF minimum Rs 10 lakh; Cat III private placement, NAV daily/monthly/quarterly

Minimum investment
Rs 1 crore (Rs 25 lakh for employees/directors)

Minimum corpus per scheme
Rs 20 crore

Sponsor/manager skin in game
Lower of 5% of corpus or Rs 10 crore

Max investors per scheme
1,000

Single investee limit
10% of investable funds (20% for LVF)

LVF minimum per investor
Rs 25 crore

Quarterly risk report to investors
Within 60 days of quarter end

Records retention
5 years after winding up

Commodity derivatives
Up to 10% of investable funds per underlying commodity

Pre-IPO investment
Up to 10% of investable funds; 6-month lock-in

🎯 EXAM TIP
Numbers in the PMS vs MF vs SIF vs Cat III tables are exam favourites; also 'what is dry powder' and 'order of the distribution waterfall'.

⚠️ TRAP
Sponsor commitment is the LOWER of 5% and Rs 10 crore, not the higher. For a Rs 300 crore fund it is Rs 10 crore, not Rs 15 crore.



Chapter 4 · Weight: 12%

Category III AIF: Fund Structures and Service Providers

Covers legal forms (trust, company, LLP, body corporate), open versus closed-ended structures, offshore, onshore, unified, master-feeder and parallel structures, and the role of each service provider from merchant banker to auditor.

MAKE IT STICK
A master-feeder fund is like a big restaurant kitchen (master in India) fed by delivery counters in Mauritius and Singapore (feeders). A parallel structure is like two separate restaurants ordering from the same market but cooking independently.

1. Legal forms: trust (registered under Registration Act, 1908), company (Companies Act, 2013), LLP (LLP Act, 2008), body corporate
2. Trust structure: settlor settles the trust, appoints trustee via trust deed; trustee appoints manager via Investment Management Agreement (signed once for the trust, not per scheme)
3. Open-ended: continuous subscription, variable corpus, redemptions monthly/quarterly/half-yearly; closed-ended: commitment period typically 3–5 years, usually 2-year lock-in then exit with load
4. Unified structure: domestic and offshore money pooled in one onshore AIF; no FIPB approval, automatic route
5. Master-feeder: offshore feeders (Mauritius, Singapore) invest in Indian master; management fee charged at master, feeder charges a token (e.g., USD 1,000)
6. Parallel (co-investment) structure: offshore funds invest directly alongside the onshore AIF; Indian manager gives non-binding advice; usually costlier fees

7 Merchant banker files PPM with SEBI, gives due diligence certificate, must not be an associate of AIF, sponsor, manager or trustee

8 RTA appointment is compulsory: RTAs act as collecting agents for stamp duty on issue, transfer and sale of AIF units

9 Custodian is compulsory for Cat III, appointed before first investment of the scheme; must be SEBI-registered; not a related party unless conditions met

10 Fund administration is not a regulated function in India

11 Annual PPM audit: findings to trustee/board, manager's board and SEBI within 6 months of FY end; exemptions for LVFs and AIFs that raised no money

12 Side letters and MFN clauses give differential rights; manager usually creates a separate unit class to respect fiduciary duty

13 Wrapper: supplement to the domestic PPM for offshore distribution in a unified structure

14 Distributors can be individuals or institutions and can be empanelled with more than one Cat III AIF

PPM audit report deadline
Within 6 months of FY end

Custodian timing
Before first investment of the scheme

Master-feeder feeder fee
Symbolic fixed amount (e.g., USD 1,000)

Typical mid-size fund team
5 to 10 employees

LVF audit exemption threshold
Rs 25 crore per investor (USD 3 million)

🎯 EXAM TIP
Questions love 'which structure needs no FIPB approval' (unified), 'which lets offshore funds invest directly in Indian companies' (parallel), and 'which agreement appoints the manager' (Investment Management Agreement).

⚠️ TRAP
The Contribution Agreement is between investor and fund; the Investment Management Agreement is between trustee and manager. Do not swap them.



Chapter 5 · Weight: 15%

Regulatory Framework

The heaviest regulatory chapter: registration, accredited investors, investment conditions, PPM filing (GARUDA), tenure and extensions, demat, leverage and concentration limits, CDS rules, reporting, winding-up, CTR, FATCA/CRS, insider trading, PMLA, FEMA and ICDR lock-ins.

MAKE IT STICK
SEBI's rulebook works like a gym trainer for a weight-lifter: lift heavy (leverage) but never more than 2× your body weight (NAV); if you overload, tell the coach (custodian) and everyone in the gym (investors) before 10 AM next day and put the extra weight down by close of the next working day.

1. Registration: Form A, application fee Rs 1 lakh, registration fee Rs 15 lakh; certificate valid till the AIF is wound up; refusal communicated within 30 days

2. In-principle approval: register trust or LLP deed within 6 months; may accept commitments but not call money before registration

3. Key investment team: at least one person with NISM XIX-C or XIX-E, and one with a professional qualification (can be the same person)

4. Accredited investor (individual/HUF): income at least Rs 2 crore, or net worth Rs 7.5 crore (Rs 3.75 crore financial), or income Rs 1 crore plus net worth Rs 5 crore (Rs 2.5 crore financial); body corporate or trust: net worth Rs 50 crore

5. Accreditation valid 2 years (3 years if criteria met in each of preceding 2 FYs); agency is subsidiary of an exchange or depository

6. Change of investment strategy needs two-thirds of investors by value; dealing with associates or 50%+ investor needs 75% approval

7. Joint investors: max 2 persons (spouse, parent or child); open-ended scheme corpus below Rs 20 crore must be restored within 3 months, intimate SEBI within 2 days

8. PPM via merchant banker at least 10 working days before launch; new schemes launch after 10 working days; AI-only funds and LVFs launch immediately on filing; PPM changes intimated within 1 month of FY end

9. Close-ended tenure from first close; extension up to 2 years (two 1-year extensions) with two-thirds approval; AI-only funds up to 5 years; liquidation period 1 year

10. Leverage = total exposure (long + short after permitted offsetting) / NAV, maximum 2 times; NAV excludes borrowed funds; breach: report to investors before 10 AM next working day, square off by end of next working day

11. CDS: unhedged gross positions up to 25% of investable funds (beyond that only after informing unit holders); CDS exposure reported to custodian by next working day

12. Overseas investment: up to 25% of investible funds, industry cap USD 1,500 million, SEBI approval valid 6 months, utilisation reported within 5 working days

13. Corporate bonds: at least 10% of monthly secondary trades via RFQ platform; direct plan mandatory; distribution fee only on equal-trail basis, paid out of management fee

14. Grievances redressed within 21 calendar days; compliance officer (not the CEO) reports non-compliance within 7 working days

15. Winding-up when tenure ends, trustee decides, 75% investors by value resolve, or SEBI directs; in-specie distribution and dissolution period need 75% approval; no new liquidation schemes after Apr 25, 2024

16. PMLA: cash transactions above Rs 10 lakh, cross-border wires above Rs 5 lakh; UBO threshold 25% (company/trust), 15% (partnership); FIU can attach property up to 180 days

17. ICDR: preferential allotment lock-in 6 months (1 year if proceeds mainly for capex); takeover disclosure at 5% within 2 working days

Registration fee / application fee
Rs 15 lakh / Rs 1 lakh

Maximum leverage
2 times NAV

Leverage breach report to investors
Before 10:00 AM next working day

Square-off excess exposure
By end of next working day

Strategy change approval
Two-thirds of investors by value

Associate deals / winding-up / in-specie
75% of investors by value

Tenure extension (close-ended)
Up to 2 years, two-thirds approval

First close deadline
12 months from eligibility to launch

PPM filing before launch
10 working days via merchant banker

Unhedged CDS cap
25% of investable funds

Overseas investment cap
25% of investible funds; USD 1,500 mn industry

Passive breach of concentration (NAV basis)
Rectify within 30 days

Grievance redressal
21 calendar days

Associate definition
More than 15% holding

Valuation deviation disclosure
>20% between two valuations or >33% in a FY

Change of sponsor/manager fee
Rs 15 lakh, paid within 15 days

🎯 EXAM TIP

This chapter is a numbers vault: fractions of investor approval (two-thirds vs 75%), timelines (10 working days, 12 months, 21 days, 30 days, 60 days) and limits (2×, 10%, 20%, 25%). Make a one-page grid and drill it daily.

⚠️ TRAP

Two-thirds approval is for strategy change and tenure extension; 75% is for associate transactions, winding-up, in-specie distribution, dissolution period and new external IC members. Mixing them is the most common error.



Chapter 6 · Weight: 15%

Fees Structure, Fund Performance and Benchmarking

The numerical heart of the exam: management fee on gross NAV plus 18% GST, hurdle rate and high-water mark, catch-up, gross vs net returns, IRR, DPI/RVPI/TVPI, standard deviation, skewness, kurtosis, Sharpe, Treynor, maximum drawdown, VaR, benchmarks and CAPM alpha.

MAKE IT STICK

A fee structure is a toll road. The management fee is the fixed toll you pay even if traffic is jammed. The incentive fee is a bonus toll charged only when you reach the destination faster than the hurdle speed AND faster than your previous best time (high-water mark).

1. Management fee: 1% to 2.5% of Gross NAV (not committed capital), plus GST 18%; accrues from first close; paid even if fund loses money

2. Incentive fee: usually 0–20% of return above the higher of reference hurdle and high-water mark; for closed-ended funds paid at end of tenure

3 Set-up costs up to 1.5–2% of commitments, amortised over 36 months or fund life from first closing; operating expenses usually capped around 0.5% of AUM

4 Indian hurdle rates typically 10–12% p.a. versus 7–8% internationally

5 Reference hurdle compounds: previous reference hurdle x (1 + hurdle rate)

6 Catch-up: after capital plus hurdle, manager receives catch-up share (often 100%) until it gets its pre-agreed share of total profits

7 Mutual funds cannot charge incentive fees; PMS exit load max 3% / 2% / 1% in years 1/2/3, operating expenses max 0.5% p.a.; PMS fee may reach 2–3% plus up to 40% incentive

8 Gross IRR uses fund-level flows before fees and taxes; Net IRR uses investor-level flows and is lower

9 PIC = paid-in / committed; DPI = distributions / paid-in; RVPI = residual value / paid-in; TVPI = DPI + RVPI; at full exit DPI = TVPI

10 Normal distribution: mean +/- 1 sigma covers 68%, +/- 2 sigma 95%; kurtosis of normal = 3; leptokurtic above 3 (riskier)

11 Sharpe = (Rp - Rf)/sigma, uses total risk; Treynor = (Rp - Rf)/beta, uses systematic risk; for undiversified portfolios prefer Sharpe

12 Maximum drawdown = (trough - peak)/peak; VaR = maximum expected loss over a period at a given confidence

13 Benchmarking agencies notified by association with at least 33% of AIFs; schemes 1 year past first close report data half-yearly (Sept 30, Mar 31); March data audited

14 CAPM: E(R) = Rf + beta x (Rm - Rf); alpha = actual return - E(R)

15 GIPS: present at least 5 years (or since inception), building to 10 years

Management fee base **Gross NAV, plus 18% GST**	Management fee range **1% to 2.5%**	Typical incentive fee **Up to 20% (range 0–30%)**	Indian hurdle rate **10–12% p.a.**
Set-up cost amortisation **36 months or fund life**	Normal distribution kurtosis **3**	Benchmarking frequency **Half-yearly (Sep 30 and Mar 31)**	
Benchmark reporting eligibility **1 year from first close**	PMS exit load cap **3% / 2% / 1% (years 1–3)**	Fee payment timing **In arrears, within 14 days of valuation day**	

🎯 EXAM TIP

Practise five numericals until automatic: management fee with GST, incentive fee with hurdle and HWM, catch-up split, Sharpe/Treynor, and DPI/RVPI/TVPI. Most case-based questions draw on these.

⚠️ TRAP

Incentive fee is charged on NAV minus the HIGHER of reference hurdle and high-water mark, not the lower. And RVPI is not 'TVPI + DPI'; TVPI = DPI + RVPI.

Chapter 7 · Weight: 8%

Category III AIF Investment Strategies and Due Diligence Process

Explains long-only, long-short (130/30), market-neutral, directional and short-bias, global macro, convertible arbitrage, activist, merger arbitrage and pre-IPO strategies, plus the 18-point investor due diligence checklist and key legal documents.

MAKE IT STICK

A long-short manager is a fruit trader who buys mangoes he thinks are under-priced and simultaneously sells apples he thinks are over-priced: he can win even if the whole fruit market falls, as long as mangoes beat apples.

1. Long-only: buy positions only, focus on absolute return and capital preservation; may hedge with index puts or short futures
2. Long-short: long under-priced, short over-priced; 130/30 means 130% long, 30% short, net 100% of investable funds
3. Market-neutral: equal long and short exposure, portfolio beta zero or close to zero; still carries unsystematic (stock-specific) risk
4. Directional: net long or net short bet on market direction; short-bias keeps a net short exposure; dedicated-long takes only long positions
5. Global macro: long and short across currencies, bonds, equities, commodities, rates, driven by macro trends
6. Convertible arbitrage: long convertible bond, short the same company's equity; profits from mispricing via conversion ratio
7. Merger arbitrage: long target, short (or long) acquirer to capture the spread to the offer price; risk of deal failure
8. Activist strategy: big stake to influence management; concentration limit 10% (20% for LVF) makes LVFs most suitable
9. Pre-IPO: buy before IPO at a discount; subject to ICDR lock-in (6 months)
10. LTCM (1998): leverage about 30:1 (USD 5 bn equity, USD 125 bn borrowed), collapse after Russian default; bailout USD 3.65 bn
11. Due diligence checks: strategy, team, manager selection, track record (5 years), disciplinary history (5 years), key-person risk, alignment, fees, leverage, controls, BCP, ESG, transparency
12. Key documents: subscription/contribution agreement, advisory agreement, indenture of trust (determinate or not), PPM plus wrapper, side letters

130/30 fund	Market-neutral beta	LTCM leverage	Track record review period
130% long, 30% short, 100% net	Zero or close to zero	About 30:1	Minimum 5 years

Long-short exposure limit
2 times AUM/NAV after offsetting

🎯 EXAM TIP

Expect 'identify the strategy from the positions' questions: net short = short-bias; equal long/short with zero beta = market-neutral; long convertible + short stock = convertible arbitrage.

⚠️ TRAP

Market-neutral does not mean riskless: zero beta removes market risk but not stock-specific risk, leverage or concentration risk.



Chapter 8 · Weight: 12%

Valuation

How a Category III AIF computes NAV: frequency, classes and series of units, valuation rules by asset type, illiquidity discounts, derivative exposure and margins, mark-to-market, money market valuation, series NAV allocation and independent valuer eligibility.

MAKE IT STICK

NAV is the fund's daily weighing scale. Listed shares jump on the scale at closing price, unlisted shares need an independent valuer to estimate their weight, and a thinly traded SME stock gets weighed a little lighter because you cannot sell it all in one go.

1. NAV calculation must be independent of fund management; disclosed quarterly for close-ended and monthly for open-ended Cat III AIFs
2. NAV per unit = (assets - liabilities) / units, rounded to four decimals, computed separately for each class or series
3. Listed securities: closing price on valuation day; unlisted equity: initially cost, then fair value by independent valuer
4. Unlisted non-equity with no market: amortised cost plus accrued interest; MF units: last published NAV
5. Illiquid holdings: estimate days to exit (holding / daily volume), apply price-band fall and discount proceeds to valuation day
6. Futures exposure = contracts x lot size x futures price; options exposure on day one = premium; Black-Scholes and MTM thereafter
7. Margins with brokers are assets; MTM gains increase margin balance, losses increase liability
8. Leverage = total exposure after permitted offsetting (same underlying, same maturity) / NAV, max 2
9. Money market: overnight 1 day, notice 2–14 days, term 15 days to 1 year; valued using FBIL, CCIL, FIMMDA prices
10. T-bills and G-Secs valued at VWAY of trades in last one hour; other debt at VWAY of all trades in the day
11. Series NAV: series assets = total assets x opening series NAV / total opening series NAVs; series-specific fees charged to that series only
12. Independent valuer: not an associate, at least 3 years' experience valuing unlisted securities, IBBI-registered with ICAI/ICSI/ICMAI/CFA membership, or a credit rating agency's holding or subsidiary company

NAV disclosure **Quarterly (close-ended), monthly (open-ended)**	NAV decimals **Four**	Independent valuer experience **At least 3 years**	
Commodity derivative cap **10% of investable funds per commodity**	Notice money tenor **2 to 14 days**	Daily discount (12% p.a., 250 days) **About 0.048% per day**	

🎯 EXAM TIP
Expect NAV-per-unit arithmetic, 'which asset is NOT valued at market price' (unlisted debt at amortised cost), and leverage ratio checks after derivative trades.

⚠️ TRAP
The independent valuer need not be 'registered with SEBI'; the criteria are IBBI registration plus professional membership, or a credit rating agency group entity.



Chapter 9 · Weight: 10%

Taxation

Why Category III AIFs lack pass-through status, how trust structures decide who pays tax, capital gains vs business income, STT, GST without input credit, TDS on distributions, taxation on transfer of units, and the generous IFSC (GIFT City) regime.

MAKE IT STICK
Category I and II AIFs are like a glass pipe: income flows straight through to investors who pay tax. Category III is a closed tank: the fund (through its trustee) pays the tax itself, so investors are not taxed again on distributions.

1. Pass-through (Sec 224, Income Tax Act 2025) applies only to Category I and II AIFs; Category III is taxed at fund level
2. Determinate irrevocable trust: business income taxed at MMR; capital gains and other income taxed as if in beneficiaries' hands (trustee as representative assessee)
3. Indeterminate trust: taxed at MMR on entire income; revocable transfer: income taxed in hands of transferor
4. Derivative (F&O) gains are business income taxed at MMR
5. Listed equity (STT paid): STCG 20%, LTCG 12.5% above Rs 1.25 lakh; unlisted equity LTCG 12.5%; listed shares long-term after 12 months, unlisted after 24 months
6. Surcharge for individuals/AoPs: 10% (Rs 50 lakh–1 crore), 15% (Rs 1–2 crore), 25% (above Rs 2 crore); capped at 15% on equity capital gains; cess 4%
7. CBDT: listed shares held as stock-in-trade = business income; held over 12 months and treated as capital gains once, must continue; unlisted shares = capital gains
8. Dividend as other income: only interest up to 20% of dividend deductible; company deducts TDS 10% on dividends
9. STT: delivery equity 0.1%; option sale 0.1% (0.125% on exercise); futures sale 0.02%; non-delivery equity 0.025%
10. GST on management and trustee fees; no input credit since no output GST; IFSC AIFs exempt

11 AIF TDS on distributions: 10% to residents (20% without PAN); MAT 18.5% (9% in IFSC)

12 IFSC: 100% deduction for any 10 consecutive years out of 15; STT exempt; unit holders' income exempt

13 Stamp duty on secondary transfer of units: 0.015%

Pass-through status **Category I and II only**	Listed equity STCG / LTCG **20% / 12.5% above Rs 1.25 lakh**	Max surcharge on equity capital gains **15%**
Health and education cess **4%**	TDS on AIF distribution (resident) **10% (20% without PAN)**	IFSC tax holiday **10 consecutive years out of 15**
MAT **18.5% (9% in IFSC)**	Dividend interest deduction cap **20% of dividend**	Stamp duty on unit transfer **0.015%**

🎯 EXAM TIP

Expect trust-type tax questions (determinate irrevocable = pass-through of non-business income) and simple tax arithmetic: 12.5% x 1.15 x 1.04 for LTCG, 30% x 1.25 x 1.04 for business income.

⚠️ TRAP

F&O gains are never 'capital gains' for a Cat III AIF; they are business income at the maximum marginal rate.



Chapter 10 · Weight: 8%

Good Practices

What an honest distributor does: build a transparent pitch book and distribution kit, serve investors before and after commitment, protect confidential data, follow a model code of conduct, avoid pass-backs and soft-dollar conflicts, and understand insurance (E&O, D&O, key-man).

MAKE IT STICK

A good distributor is like a family doctor, not a pharma rep: the prescription (fund) must suit the patient's health (risk profile), side effects (risks and fees) must be explained, and the doctor must never pick a medicine because of a commission.

1 Pitch book: confidential, for private circulation; prepared after analysing the PPM; must not mislead

2 Pitch book sections: sponsor and manager introduction, historical performance vs benchmarks, proposed investment strategy, key terms, key risk factors

3 Distribution kit includes registration certificate, PPM, presentation, key disclosure statement, KYC and FATCA forms, FAQs

4 Four pillars of AIF distributorship: Marketing, Sales, Investor Support and Relationship Management

5 Pre-commitment services: pitch books, investor meets, explaining risks, facilitating due diligence, seeking commitment

6 Post-investment services: coordinate capital calls and drawdowns, investor approvals, point of contact, grievances, marketing follow-on funds

7 Material strategy changes (sectors, holding period, allocation, valuation method, leverage) must be communicated to investors

8 Model code: no assured returns, disclose hurdle, fees, catch-up and distribution commission, suitability first, no rebates or pass-backs, no negative statements about rival funds

9 Pass-back = distributor returning part of commission to investor; prohibited

10 Soft-dollar arrangements create conflicts; distributors should abstain and ensure disclosure

11 Avoid commitments from own subsidiaries, associates or entities where distributor holds more than 10%

12 Social media: disclose SEBI-registered name and registration number; principal's details first (from May 1, 2026)

13 Insurance: Professional Indemnity (E&O) protects the fund; D&O protects directors (not fraud); key-man covers death, incapacity, kidnap, disability of key executive; typical cover about 1–2% of AUM

Four pillars
Marketing, Sales, Investor Support, Relationship Management

Distributor conflict threshold
Holding more than 10% in investing entity

Insurance cover
About 1–2% of AUM

Key-man events
Death, incapacity, kidnap, disability

🎯 EXAM TIP
'Which is NOT a good practice' questions: giving all employees access to confidential data, assuring returns, pass-backs, undisclosed soft-dollar deals.

⚠️ TRAP
D&O insurance does NOT cover fraud by directors, and E&O insurance protects the fund (the buyer), not the individual investor directly.

🧮 Formulas

Management fee with GST

```
Fee = Rate x Gross NAV; Total = Fee x 1.18
```

GNAV Rs 80 crore at 2%: fee Rs 1.60 crore + GST Rs 28.8 lakh = Rs 1.888 crore

Reference hurdle (compounding)

```
Hurdle_t = Hurdle_(t-1) x (1 + h); Hurdle_0 = called-up capital
```

Rs 100 crore at 8%: Year 1 Rs 108 crore, Year 2 Rs 116.64 crore

Incentive fee with high-water mark

```
Incentive = Rate x [NAV pre-incentive - max(Reference hurdle, HWM)], only if positive
```

NAV Rs 118 cr, hurdle Rs 110 cr, HWM Rs 112 cr, rate 20%: 20% x 6 = Rs 1.2 crore

Catch-up split

```
Investors first get capital + hurdle; manager then gets residual (at catch-up rate) up to Rate x Total profit; any balance goes to investors
```

Capital 100, NAV 140 after 3 yrs, hurdle 8%: hurdle return 25.97; residual 14.03; manager target 20% x 40 = 8; with 100% catch-up manager gets 8, without catch-up 20% x 14.03 = 2.81

CAGR

```
CAGR = (Ending value / Beginning value)^(1/n) - 1
```

NAV 1,000 to 1,210 in 2 years: CAGR = 10%

Leverage ratio

```
Leverage = Total exposure (long + short after permitted offsetting) / NAV; must not exceed 2
```

NAV Rs 50 crore: maximum total exposure Rs 100 crore

Paid-in capital multiple

```
PIC = Paid-in capital / Committed capital
```

Rs 800 crore paid in of Rs 1,000 crore committed: PIC = 0.80

DPI, RVPI, TVPI

```
DPI = Distributions / Paid-in; RVPI = Residual value / Paid-in; TVPI = DPI + RVPI
```

Paid-in 1,000, distributions 400, residual 1,100: DPI 0.40, RVPI 1.10, TVPI 1.50

Standard deviation

```
sigma = sqrt[ sum (Ri - mean)^2 / n ]
```

Fund A returns 12.50, 11.25, 13.65, 17.30, 14.65: mean 13.87%, sigma about 2.06%

Sharpe ratio

```
(Rp - Rf) / sigma_p
```

Rp 18%, Rf 6%, sigma 8%: Sharpe = 1.5

Treynor ratio

```
(Rp - Rf) / beta
```

Rp 18%, Rf 6%, beta 1.2: Treynor = 10

Maximum drawdown

```
MDD = (Trough value - Peak value) / Peak value
```

Peak Rs 632.33 cr, trough Rs 545.61 cr: MDD = -13.71%

CAPM expected return and alpha

```
E(R) = Rf + beta x (Rm - Rf); Alpha = Actual return - E(R)
```

Rf 5.60%, beta 1.3, Rm 9.25%: E(R) 10.35%; actual 12.77% gives alpha 2.42%

IRR (single inflow)

```
Investment = Final value / (1 + IRR)^n
```

Rs 50 crore grows to Rs 115 crore in 5 years: Gross IRR = 18.13%

NAV per unit

```
(Total assets - Total liabilities) / Units issued, rounded to 4 decimals
```

Assets Rs 63.025 cr, liabilities Rs 5.355 cr, 5 lakh units: NAV Rs 1,153.40

Portfolio beta

```
Sum of (weight x stock beta), shorts with negative weight
```

Long Rs 5 cr (beta 0.4), long Rs 5 cr (beta 2.0), short Rs 10 cr (beta 1.2): 0.10 + 0.50 - 0.60 = 0

Futures MTM profit

```
(Entry price - Close price) x lots x lot size for a short; reverse for a long
```

Short 300 lots x 250 at 2,275, closes 2,150: profit Rs 93.75 lakh

Merger arbitrage fair price

```
Fair price = Conversion ratio x price of the other company's share
```

Ratio 139:10, share price Rs 39.25: fair price = 139 x 39.25 / 10 = Rs 545.58

Effective tax rate with surcharge and cess

```
Rate x (1 + surcharge) x 1.04
```

LTCG 12.5% x 1.15 x 1.04 = 14.95%; business income 30% x 1.25 x 1.04 = 39%

Investable funds

```
Investable funds = Corpus - estimated administration and management expenses over the tenure
```

Corpus Rs 200 crore, estimated expenses Rs 10 crore: investable funds Rs 190 crore; 10% cap = Rs 19 crore

🔢 Numbers to remember

80 MCQ + 5 cases x 4 = 100 marks, 2 hours, pass 60, negative 10%
Exam

Rs 1 crore (Rs 25 lakh employees/directors)
Minimum investment

Rs 20 crore per scheme
Minimum corpus

1,000 per scheme
Maximum investors

Lower of 5% of corpus or Rs 10 crore
Sponsor/manager continuing interest

2 times NAV
Leverage cap

10% of investable funds (20% for LVF)
Single investee cap

Rs 25 crore per accredited investor
LVF minimum commitment

10% of investable funds per commodity
Commodity derivatives

Up to 25% of investable funds
Unhedged CDS

25% of investible funds; USD 1,500 mn industry cap
Overseas investment

Rs 15 lakh / Rs 1 lakh
Registration / application fee

10 working days before launch via merchant banker
PPM filing

Within 12 months of eligibility to launch
First close

Up to 2 years (two-thirds by value)
Tenure extension

Up to 5 years
AI-only fund extension

1 year after tenure
Liquidation period

75% of investors by value
Winding-up resolution

Within 60 days of quarter end
Quarterly investor reporting

Within 30 calendar days of March end
Annual activity report to SEBI

Within 6 months of FY end
PPM audit

Manager within 30 days of FY end; sponsor/trustee comment within 30 days; manager fixes within 15 days
Compliance Test Report

21 calendar days
Grievances

Restore Rs 20 crore within 3 months; tell SEBI within 2 days
Open-ended corpus breach

Income Rs 2 cr, or NW Rs 7.5 cr (Rs 3.75 cr financial), or Rs 1 cr + NW Rs 5 cr (Rs 2.5 cr financial)
Accredited individual

Net worth Rs 50 crore
Accredited body corporate/trust

2 years (3 years if met in both preceding FYs)
Accreditation validity

1-2.5% of gross NAV + 18% GST
Management fee

Usually up to 20% of additional return
Incentive fee

10-12% p.a.
Hurdle rate in India

0-5% of NAV
Exit load after lock-in

>20% consecutive, >33% in a FY
Valuation deviation alert

3 years' experience; not an associate
Independent valuer

12.5% above Rs 1.25 lakh
LTCG listed equity

20%
STCG listed equity

10% (20% without PAN)
TDS on AIF distributions

Above Rs 10 lakh; cross-border wire above Rs 5 lakh
PMLA cash threshold

At least 8 years
Insider-trading database retention

Execute within 7 trading days
Pre-cleared trades

5% holding, within 2 working days
Takeover disclosure

📖 Glossary

Category III AIF	AIF using diverse or complex trading strategies that may employ leverage, including through listed or unlisted derivatives.
Privately pooled investment vehicle	Core of the AIF definition: money pooled from select investors, not the public.
Sponsor	Person who sets up and registers the AIF; must hold continuing interest of the lower of 5% of corpus or Rs 10 crore (with manager).
Investment Manager	Entity appointed to manage investments; called General Partner abroad.
Capital commitment	Total amount an investor agrees to contribute over the fund's life.
Drawdown / capital call	Manager's demand for a portion of committed capital when needed.
Dry powder	Committed capital not yet drawn down.
Investable funds	Corpus net of estimated administration and management expenses over the tenure.
Accredited Investor	Investor certified by an accreditation agency on income or net-worth criteria; gets flexibility on minimum ticket and concessions.
Large Value Fund (LVF)	AIF where each investor (other than insiders) is accredited and invests at least Rs 25 crore.
PPM	Private Placement Memorandum, the offer document of an AIF filed with SEBI through a merchant banker.
GARUDA	Green Channel: AIF Rollout upon Document Acknowledgement, SEBI's fast-track scheme launch mechanism.
Hurdle rate	Minimum (preferred) return to investors before the manager earns an incentive fee.
High-water mark	Highest net NAV at end of any previous year (or subscription price); prevents paying incentive twice for the same gains.
Catch-up	Rate at which residual profits after hurdle go to the manager until it receives its agreed share of total profits.
Distribution waterfall	Order of distributing proceeds: capital, hurdle, catch-up, then remaining profit split.
Side letter / MFN clause	Special terms for an investor; MFN protects against others getting better terms.
Unified structure	Domestic and offshore commitments pooled into one onshore AIF, via the automatic route.
Master-feeder	Offshore feeder funds invest into an Indian master fund.
Parallel structure	Offshore funds invest directly in Indian companies alongside the onshore AIF.
Wrapper	Supplement attached to a domestic PPM for offshore private placement.

Leverage	Total exposure (long + short after permitted offsetting) divided by NAV; capped at 2.
Credit Default Swap	Credit derivative where the protection buyer pays premium and the seller pays on a credit event of the reference entity.
Market-neutral	Strategy with equal long and short exposure aiming at zero portfolio beta.
130/30	Long-short fund with 130% long and 30% short positions, 100% net exposure.
Convertible arbitrage	Long convertible bond and short same company's stock to exploit mispricing.
Merger arbitrage	Long target, short or long acquirer to capture deal spread.
DPI / RVPI / TVPI	Distributions, residual value and total value per rupee of paid-in capital.
Sharpe ratio	Excess return per unit of total risk (standard deviation).
Treynor ratio	Excess return per unit of systematic risk (beta).
Maximum drawdown	Largest peak-to-trough fall in value in a period.
Leptokurtic	Distribution with kurtosis above 3 (fat tails, more outliers, riskier).
Series NAV	NAV of a specific series of units after series-specific assets, liabilities and expenses.
Determinate trust	Trust whose beneficiaries and shares are ascertainable from the trust deed; enables pass-through of non-business income.
Pass-back	Prohibited practice of a distributor sharing commission with the investor.

⚡ Quick revision: the night before

1. Exam: 80 MCQs + 5 cases x 4 questions, 100 marks, 120 minutes, pass 60, negative 10%.
2. AIF = privately pooled investment vehicle; MFs, family trusts, ESOP trusts and securitisation SPVs are excluded.
3. SEBI AIF Regulations: May 21, 2012. First hedge fund: A.W. Jones, 1949.
4. Category III = complex strategies + leverage; Category II = no leverage except operational needs.
5. Minimum ticket Rs 1 crore (Rs 25 lakh for employees/directors); accredited investors exempt.
6. Corpus at least Rs 20 crore per scheme; at most 1,000 investors.
7. Skin in the game: lower of 5% of corpus or Rs 10 crore, in cash, not fee waiver.
8. Leverage max 2 x NAV; NAV excludes borrowed funds; computed at scheme level.
9. Leverage breach: inform investors before 10 AM next working day; square off by end of next working day; custodian tells SEBI.
10. One investee: 10% of investable funds (20% for LVF); cost basis, not market value.
11. Commodity derivatives: 10% of investable funds per commodity; unhedged CDS: 25% of investable funds.
12. Overseas: 25% of investible funds; USD 1,500 mn across all AIFs; approval lapses in 6 months.
13. Strategy change and tenure extension: two-thirds by value. Associates, winding-up, in-specie, dissolution: 75%.
14. PPM through merchant banker 10 working days before launch; AI-only funds and LVFs launch immediately on filing.
15. First close within 12 months; tenure counted from first close; extension up to 2 years; liquidation period 1 year.
16. NAV: quarterly for close-ended, monthly for open-ended; computed independently of fund management.
17. Valuation deviation >20% between two valuations or >33% in a year must be explained to investors.
18. Quarterly investor report within 60 days; comprehensive annual activity report to SEBI within 30 calendar days of March end.
19. Grievances: 21 calendar days. Compliance officer cannot be CEO; reports breach within 7 working days.
20. Direct plan compulsory; distribution fee only as equal trail and only out of management fee.
21. Management fee on gross NAV (1–2.5%) plus 18% GST; incentive fee on NAV above max(hurdle, HWM).
22. Indian hurdle rates 10–12% vs 7–8% globally; managers like high catch-up rates.
23. TVPI = DPI + RVPI; at full exit DPI = TVPI and RVPI = 0.
24. Sharpe uses sigma (total risk); Treynor uses beta (systematic risk).
25. Kurtosis above 3 = leptokurtic = more outliers; positive skew preferred.
26. CAPM: E(R) = Rf + beta(Rm - Rf); alpha = actual - E(R).
27. 130/30 = 130% long, 30% short, net 100%. Market-neutral beta near zero.
28. Convertible arbitrage: long convertible, short stock. Merger arbitrage: long target.
29. Independent valuer: not an associate, 3 years' experience, IBBI + ICAI/ICSI/ICMAI/CFA or rating-agency group.
30. Cat III has no pass-through; F&O gains = business income at MMR.
31. Listed equity: STCG 20%, LTCG 12.5% above Rs 1.25 lakh; surcharge capped at 15%; cess 4%.
32. Determinate irrevocable trust: business income at MMR, other income pass-through. Indeterminate: MMR on all.
33. AIF TDS on distributions 10% (20% if no PAN). Company TDS on dividends 10%.
34. IFSC: GST exempt, STT exempt, 10-of-15-year tax holiday, MAT 9%, unit holders exempt.
35. Four pillars of distribution: marketing, sales, investor support, relationship management.

36. No assured returns, no pass-backs, no soft-dollar deals, disclose commissions.
37. Key-man insurance: death, incapacity, kidnap, disability. D&O excludes fraud.
38. PMLA: cash above Rs 10 lakh; wires above Rs 5 lakh; UBO 25% (company/trust), 15% (partnership).

🗓️ 21-day study plan (2 h/day)

Days 1–3: Foundations: Chapters 1, 2 and 3

- Read chapter notes and build a one-page 'Cat III numbers grid' (Rs 1 cr, Rs 20 cr, 1,000 investors, 5%/Rs 10 cr, 10%/20%)
- Compare Cat III vs PMS vs MF vs SIF in a table from memory
- Take Mock 1

Days 4–6: Structures and service providers: Chapter 4

- Draw unified, master-feeder and parallel structures
- List each service provider and one exam fact about it
- Take Mock 2

Days 7–10: Regulatory framework: Chapter 5 (highest weight)

- Make a 'two-thirds vs 75%' approval list and a timelines list
- Memorise leverage breach steps and CDS rules
- Revise accredited investor criteria and LVF/AI-only fund differences
- Take Mock 3

Days 11–14: Fees, performance and benchmarking: Chapter 6

- Solve management fee, hurdle, HWM and catch-up examples on Excel
- Practise Sharpe, Treynor, MDD, CAPM alpha, DPI/RVPI/TVPI
- Take Mock 4

Days 15–17: Strategies, valuation and tax: Chapters 7, 8 and 9

- Identify strategy from position tables; compute portfolio beta
- Practise NAV per unit, illiquid valuation and leverage after derivative trades
- Memorise trust-type tax treatment and tax rates
- Take Mock 5

Days 18–19: Good practices (Chapter 10) and tough mocks

- Revise code of conduct, pass-backs, soft dollars and insurance
- Take Mock 6 under timed conditions and review every error

Days 20–21: Final simulation and revision

- Take Mock 7 and one full simulator
- Read quick revision and numbers list twice
- Sleep well; avoid new material on day 21

Independent study notes prepared from the official NISM workbook. Verify against the latest workbook on nism.ac.in.